

Reseller Agreement

Effective **May 14, 2026** · Template Version 2.1

This is PACE Technologies' template Reseller Agreement, the basis on which we appoint authorized resellers of our metallographic equipment and consumables. Final terms are negotiated and executed in writing to fit each partner's territory and circumstances.

01 Definitions

SUMMARY

Key terms. The main ones: 'Products' (PACE equipment and consumables) and 'Territory' (the area named on the cover page).

Capitalized terms not defined here have the meanings given on the cover page or in PACE's [Standard Terms and Conditions of Sale](#) ("PACE Standard Terms").

- **"Agreement"** means this Reseller Agreement, including any Exhibits and executed amendments.
 - **"Effective Date"** means the date stated on the cover page.
 - **"End Customer"** means the ultimate purchaser of a Product, other than Reseller.
 - **"List Price"** means PACE's then-current published list price in U.S. dollars.
 - **"Marks"** means the PACE trademarks, service marks, logos, and trade names made available to Reseller.
 - **"PACE"** means PACE Technologies Corporation, headquartered at 3601 E. 34th Street, Tucson, Arizona 85713, USA.
 - **"Products"** means the metallographic equipment, consumables, and related items offered by PACE for resale.
 - **"Reseller"** means the entity named on the cover page as the appointed reseller.
 - **"Territory"** means the geographic area identified on the cover page (which may be worldwide, regional, or country-specific).
 - **"Trade Laws"** has the meaning given in Section 12.
-

02 Appointment as Reseller

SUMMARY

Reseller is a non-exclusive authorized reseller within the United States and Canada. No exclusivity, no territory protection, no obligation by PACE to support Reseller against other channels. International distribution outside the United States and Canada is handled under PACE's separate Distributor Agreement.

PACE appoints Reseller, and Reseller accepts appointment, as a **non-exclusive** authorized reseller of the Products in the Territory during the Term. Reseller may market and resell Products to End Customers and may use the Marks subject to Section 7.

Territory Restriction. Territory must be within the United States or Canada. This Agreement does not extend to any territory outside the United States and Canada. Reseller shall not solicit orders, open offices, market, or fulfill Products into any territory outside the United States and Canada. For distribution in other international markets, PACE uses a separate Distributor Agreement.

The appointment is **non-exclusive**. PACE retains the right to: (i) appoint additional resellers, distributors, channel partners, referral partners, or other channel relationships in or outside the Territory; (ii) sell Products directly to End Customers anywhere, including through PACE's website or sales personnel; (iii) modify, add to, or discontinue any Product; and (iv) accept or reject any order in its sole discretion.

03 Products and Pricing

SUMMARY

Reseller's discount depends on annual purchase volume per Exhibit B: 10% baseline (Authorized tier), or 15% if Reseller qualifies for the Active tier. All prices are USD. PACE can change prices with 60 days' notice.

Discount. Reseller is entitled to a discount off List Price on qualifying Products as set forth in **Exhibit B (Discount Schedule)**. The discount tier depends on Reseller's annual purchase volume and on any other qualification requirements stated in Exhibit B. PACE may update Exhibit B from time to time on sixty (60) days' written notice; updates are effective for orders accepted after the change. Certain Products may be ineligible for the discount or eligible for a different discount, as indicated by PACE in writing.

Currency. All prices are in **U.S. dollars (USD)**.

Price Changes. PACE may change List Prices on at least **sixty (60) days' written notice**. Orders accepted by PACE before the effective date of an increase will be honored at the prior price.

Resale Pricing. Reseller is free to set its own resale prices to End Customers, subject to PACE's right to publish suggested or minimum advertised prices ("MAP") and to Section 8 (Channel Conduct). Reseller shall not represent any resale price as having been set or required by PACE.

Taxes. All prices exclude sales, use, value-added, excise, customs, withholding, and similar taxes, which are Reseller's responsibility unless Reseller furnishes a valid exemption certificate.

04 Annual Purchase Commitment

SUMMARY

Reseller targets at least \$5,000 USD per year at the Authorized tier, or \$15,000 to qualify for the Active tier with its higher discount. Falling short gives PACE the option to terminate, downshift the discount tier, or convert.

Reseller shall purchase from PACE Products with an aggregate net invoiced value of not less than the Annual Minimum applicable to Reseller's discount tier, as stated in [Exhibit B](#). The Authorized tier (10% discount) has an Annual Minimum of **five thousand U.S. dollars (\$5,000)**. The Active tier (15% discount) has an Annual Minimum of **fifteen thousand U.S. dollars (\$15,000)**. The Annual Minimum is prorated for partial years.

If Reseller fails to meet the Annual Minimum in any calendar year, PACE may, at its sole option: (i) continue this Agreement on its current terms; (ii) reduce or modify Reseller's discount for the following calendar year; (iii) remove specific Products from Reseller's eligibility; or (iv) terminate this Agreement on thirty (30) days' written notice.

05 Orders, Payment, and Delivery

SUMMARY

Reseller places POs subject to PACE's Standard Terms. Each order must meet a \$500 minimum. Year 1 is pre-pay, Year 2+ is Net-30 subject to credit approval.

Standard Terms Apply. Every order placed by Reseller is governed by PACE's then-current [Standard Terms and Conditions of Sale](#), in addition to this Agreement. In the event of a conflict, this Agreement controls as to matters expressly addressed here; the Standard Terms control as to all other matters. PACE rejects any conflicting terms in Reseller's purchase orders.

Per-Order Minimum. Each purchase order submitted by Reseller must have a net invoiced value of at least **five hundred U.S. dollars (\$500)**. PACE may reject any order below this threshold, or at its option accept the order with an adjusted handling charge.

Payment. For the first twelve (12) months of the Term, Reseller shall make payment in advance ("PIA") for all orders. Thereafter, subject to PACE's credit approval, Net-30 terms may be extended. Late payments accrue interest at the lesser of 1.5% per month or the maximum rate permitted by law.

Delivery. Unless otherwise agreed, delivery is **FCA PACE's facility, Tucson, Arizona** (Incoterms 2020). Title and risk of loss pass to Reseller on delivery to the first carrier. Reseller is responsible for freight, insurance, and import/export charges thereafter.

SUMMARY

Reseller markets the Products through commercially reasonable efforts.

Reseller shall use commercially reasonable efforts to promote and sell the Products in the Territory, including by maintaining a professional online or physical presence that identifies Reseller as an authorized PACE reseller and presents the Products accurately.

Reseller may participate in PACE-sponsored marketing programs as they may be offered from time to time. Co-marketing terms, if any, will be set out in a separate writing.

SUMMARY

Reseller can use PACE marks to promote PACE Products. The license is non-exclusive and tied to the Agreement.

PACE grants Reseller a non-exclusive, non-transferable, non-sublicensable, royalty-free license, during the Term and within the Territory, to use the Marks solely to advertise and resell the Products as an authorized PACE reseller.

Reseller shall use the Marks only in accordance with PACE's brand guidelines (provided on request). Reseller shall not: (i) modify the Marks; (ii) combine them with other marks in a manner suggesting a co-brand without PACE's prior written consent; (iii) register or attempt to register any of the Marks or confusingly similar marks; or (iv) challenge the validity of any PACE intellectual property.

Domain Names and Paid Search. Reseller shall not (i) register, attempt to register, or use any domain name, social-media handle, or app name that incorporates or is confusingly similar to "PACE," "PACE Technologies," "Materials Prep," "metallographic.com," or any of the Marks; or (ii) bid on, purchase, or otherwise use any of the Marks (including "PACE," "PACE Technologies," and "Materials Prep") or PACE's domain names as keywords, ad copy, or display URLs in paid-search or paid-social advertising. Reseller may use the Marks descriptively in organic content and in advertising of specific Products to indicate it is an authorized PACE reseller, consistent with this Section 7.

The Marks remain the sole property of PACE. The license terminates automatically on expiration or termination of this Agreement, and Reseller shall cease use of the Marks within thirty (30) days.

SUMMARY

Reseller may sell via its own branded website. No third-party marketplaces (Amazon, eBay, AliExpress) without written consent. Hazardous chemicals stay in the United States. Quarterly equipment-shipment report goes to PACE.

Reseller may sell Products through its own staffed offices and its own e-commerce website that prominently identifies Reseller as an authorized PACE reseller.

Online Marketplaces. Reseller shall not list or sell Products on any third-party online marketplace (including Amazon, eBay, AliExpress, Alibaba, Mercado Libre, Taobao, or any equivalent) without PACE's prior written consent. PACE may grant or withhold consent in its sole discretion. Breach is grounds for immediate termination under Section 19.

No Diversion. Reseller shall not knowingly export, re-export, or transship Products outside the Territory, nor sell to any customer Reseller knows or reasonably should know will do so, except as permitted under applicable competition law.

No Modification. Reseller shall not repackage, relabel, or modify Products in a manner that obscures PACE's brand or removes hazard or safety information.

Hazardous Products. Certain Products (including etchants and other chemical consumables) are hazardous materials under U.S. federal, state, and local law and under Canadian federal and provincial law. Title and risk of loss for Hazardous Products pass to Reseller at the carrier in Tucson, Arizona under Section 5 (FCA Tucson, Incoterms 2020); from that point Reseller is the shipper of record and, for any cross-border movement between the United States and Canada, the importer of record at the receiving country, with full responsibility for compliance. With respect to such Products, Reseller shall: (i) handle, store, package, and transport Hazardous Products in compliance with all applicable U.S. laws and regulations (including 49 CFR Hazardous Materials Regulations, OSHA, and EPA rules) and all applicable Canadian laws and regulations (including the Transportation of Dangerous Goods Regulations under the TDG Act, WHMIS, and applicable provincial occupational-health and environmental rules); (ii) ensure its personnel are trained as required by 49 CFR § 172.700 et seq. and Canadian TDG training rules before handling or shipping; (iii) obtain and maintain any licenses, permits, registrations, customs-broker arrangements, or import certifications required in the jurisdictions where it operates and where it ships; (iv) provide PACE's current Safety Data

Sheets (or compliant Canadian equivalents) to each End Customer at or before delivery; and (v) not export, re-export, or transship Hazardous Products outside the United States and Canada. Reseller shall indemnify, defend, and hold harmless PACE from and against any claims, fines, or losses arising from Reseller's breach of this paragraph.

End-Customer Reporting (Equipment). Within thirty (30) days after the end of each calendar quarter, Reseller shall provide PACE a report listing, for each unit of Equipment (capital instruments and systems, as distinguished from consumables) shipped to an End Customer during the quarter: (i) End-Customer legal name and country/state; (ii) PACE invoice or order reference; (iii) Equipment model and serial number, if available; and (iv) End-Customer industry or use category if known. Reseller represents that it has obtained any consents required under applicable privacy laws to share this information. No End-Customer report is required for consumables.

09 Warranty and Service Routing

SUMMARY

Reseller does not perform warranty service. Reseller refers warranty issues to PACE, passes required PACE protective terms through to End Customers, cooperates with recalls, and benefits from PACE's five-year spare-parts commitment.

No Warranty Service Obligation. Unlike a distributor, Reseller is not required to perform warranty service. Reseller shall refer all warranty claims, service requests, and technical-support inquiries from End Customers to PACE in a timely manner.

Optional Service Authorization. Reseller may apply to be authorized to perform fee-based or warranty service for Products, subject to PACE's training and certification requirements. Any such authorization will be set out in a separate writing and may include reimbursement terms.

End-Customer Terms. Reseller shall include in every sale of Product to an End Customer the protective terms PACE provides as part of its standard partner package (the "Required End-Customer Terms"), covering at minimum: PACE's standard limited warranty, disclaimer of implied warranties, limitation of liability (including exclusion of consequential damages), no third-party-beneficiary status for End Customers vis-à-vis PACE, and end-user compliance with hazardous-materials and Safety Data Sheet handling. Reseller may use its own contracting templates so long as the Required End-Customer Terms are included verbatim or in substantively equivalent language. Reseller shall not extend any express warranty broader than PACE's standard limited warranty, nor make any representation about Products beyond PACE's published materials. Reseller shall make PACE's Safety Data Sheets and product documentation available to End Customers where applicable.

Spare Parts. PACE shall make commercially reasonable efforts to maintain spare-parts availability for Products sold by Reseller for a minimum of **five (5) years** after Product discontinuation. After this period, parts are subject to availability.

Product Recall. PACE has sole authority to determine whether a Product recall, retrofit, or safety bulletin is necessary and to define its scope. If PACE issues a recall affecting Products sold by Reseller, Reseller shall, within ten (10) business days of PACE's written notice: (i) cooperate with PACE in notifying each affected End Customer using messaging approved by PACE; (ii) coordinate the return, retrofit, or replacement of affected Products with End Customers in accordance with PACE's instructions; and (iii) maintain records of recall-related

communications and dispositions. PACE shall provide replacement Products or credit at no charge to Reseller or End Customer and shall reimburse Reseller's reasonable, documented out-of-pocket recall costs.

10 Insurance

SUMMARY

Reseller maintains commercially reasonable insurance customary for its size, industry, and jurisdiction. PACE may request a Certificate of Insurance.

Reseller shall maintain at its own expense throughout the Term commercially reasonable insurance customary for businesses of its size and industry in its jurisdiction, including:

- Commercial General Liability coverage appropriate to Reseller's activities under this Agreement;
- Workers' Compensation as required by applicable law; and
- Commercial Automobile Liability covering owned, hired, and non-owned vehicles, if Reseller's personnel transport Products or visit End-Customer sites.

Upon PACE's reasonable request, Reseller shall provide a Certificate of Insurance.

11 Confidentiality

SUMMARY

Both parties protect each other's non-public information for the Term and 3 years after.

"Confidential Information" means non-public information disclosed by one party to the other in connection with this Agreement that is identified as confidential or that a reasonable person would understand to be confidential, including pricing, customer lists, business plans, technical information, software, and financial information.

The Receiving Party shall: (i) use Confidential Information solely for purposes of this Agreement; (ii) protect it with at least the same care it uses for its own information of similar sensitivity and in no event less than reasonable care; (iii) limit disclosure to its personnel with a need to know who are bound by confidentiality; and (iv) not disclose it to third parties without consent.

Exceptions apply for information that is publicly known, rightfully known prior to receipt, independently developed, or required to be disclosed by law.

The obligations apply during the Term and for **three (3) years** after termination. Trade secrets remain protected as long as they remain trade secrets. On termination, each party shall return or destroy the other's Confidential Information.

12 Export Controls and Trade Compliance

SUMMARY

Reseller complies with US export law, sanctions, anti-boycott rules, and end-use restrictions. Restricted-party screening is required.

The Products and related technology may be subject to the U.S. Export Administration Regulations (EAR), the International Traffic in Arms Regulations (ITAR) to the extent applicable, OFAC sanctions, and the import/export laws of other jurisdictions ("Trade Laws"). Reseller represents, warrants, and covenants that:

- It is not, and no owner, director, officer, or employee is, a restricted or sanctioned party under any Trade Laws, including the U.S. Specially Designated Nationals List, Denied Persons List, Entity List, or comparable lists of other governments;
- It will not, directly or indirectly, export, re-export, transfer, or divert any Product to any country, region, entity, or individual subject to U.S. embargo or comprehensive sanctions (including, as of the Effective Date, Cuba, Iran, North Korea, Syria, and the Crimea, Donetsk, and Luhansk regions of Ukraine);
- It will conduct restricted-party screening of each prospective End Customer against current government lists prior to delivery and maintain records of such screening for at least five (5) years;
- It will not use, sell, or permit use of the Products for nuclear weapons, chemical or biological weapons, missile, or unauthorized military end uses;
- It will comply with applicable anti-boycott laws, including the U.S. Export Administration Act anti-boycott provisions and Section 999 of the U.S. Internal Revenue Code, and report any boycott request received to PACE within ten (10) business days;
- It will obtain any required export, re-export, or import authorizations at its own cost; and
- It will provide PACE with End-Use and End-User certifications upon request.

Reseller shall indemnify, defend, and hold harmless PACE from and against any claims, fines, or losses arising from Reseller's breach of Trade Laws. PACE may refuse any order it believes in good faith may violate Trade Laws, without liability.

Annual Compliance Certification. Annual auto-renewal of this Agreement under Section 19 is conditioned on Reseller's submission of a signed Compliance Certification on PACE's standard

form. Reseller shall submit the Compliance Certification within the ninety (90) days preceding the end of each Term year. The Compliance Certification confirms Reseller's continuing compliance with this Section 12 and Section 13 (Anti-Bribery) and discloses any pending or threatened government investigation, charge, or enforcement action against Reseller or its principals relating to anti-corruption, trade compliance, or sanctions matters. If Reseller fails to submit a current Compliance Certification within the specified window, this Agreement does not auto-renew and lapses at the end of the then-current Term, without further notice required from PACE.

13 **Anti-Bribery and Anti-Corruption**

SUMMARY

Reseller complies with the FCPA, UK Bribery Act, and local laws. No improper payments. PACE has audit rights to verify compliance.

Reseller shall comply with the U.S. Foreign Corrupt Practices Act, the U.K. Bribery Act 2010, and all other applicable anti-bribery and anti-corruption laws. Reseller shall not, directly or indirectly, offer, promise, or give anything of value to any government official or any other person to obtain or retain business or secure an improper advantage.

Reseller shall maintain accurate books and records reflecting all transactions involving the Products. Upon reasonable prior notice, PACE may audit Reseller's books and records relating to the Products and this Agreement, at PACE's expense, to verify compliance with this Section.

Reseller shall promptly notify PACE of any actual or suspected breach. Material breach is grounds for immediate termination under Section 19.

SUMMARY

Each party complies with applicable privacy laws when handling personal data of End Customers and their staff. When Reseller handles End-Customer personal data on PACE's behalf (including under the quarterly equipment-reporting clause), Reseller acts as a processor.

Each party shall comply with applicable data-protection laws when handling personal data of End Customers and their personnel, including the EU GDPR, the UK GDPR, the California Consumer Privacy Act (as amended), and other U.S. state and foreign privacy laws. PACE's [Privacy Policy](#) governs PACE's data practices. The parties shall execute a data-processing addendum upon either party's request where required by applicable law.

To the extent Reseller processes personal data of End Customers or their personnel on behalf of PACE (for example, in connection with quotes, orders, warranty registration, or quarterly End-Customer reports under Section 8), Reseller acts as a processor (under GDPR) or service provider (under CCPA) and shall: (i) process such personal data only on PACE's documented instructions; (ii) implement appropriate technical and organizational security measures; (iii) ensure persons authorized to process personal data are subject to confidentiality; (iv) assist PACE in responding to data-subject requests; and (v) delete or return such personal data on termination.

SUMMARY

PACE owns all IP in the Products and Marks. Reseller gets no rights other than what's expressly licensed.

All intellectual property rights in the Products, Marks, and PACE's technical documentation remain PACE's sole and exclusive property. Reseller acquires no rights except those expressly granted in this Agreement.

Reseller shall not: (i) reverse engineer, decompile, or disassemble Products or any embedded software, except to the extent expressly permitted by applicable law notwithstanding this restriction; (ii) copy or create derivative works; (iii) remove proprietary notices; (iv) register or attempt to register any of the Marks or confusingly similar marks; or (v) challenge the validity of any PACE intellectual property. Any feedback Reseller provides to PACE is non-confidential and PACE may freely use it.

16 Representations and Warranties

SUMMARY

Standard reps from each party: authority, organization, no sanctioned-party status. All implied warranties from PACE are disclaimed except as expressly stated.

Each party represents and warrants that (i) it is duly organized and in good standing; (ii) it has authority to enter and perform this Agreement; (iii) performance does not breach any other agreement or law; (iv) it is not a restricted or sanctioned party; and (v) it will perform in compliance with applicable laws. Reseller additionally represents that it will not make any representation or warranty about the Products beyond what PACE has authorized in writing.

EXCEPT AS EXPRESSLY STATED HERE OR IN PACE'S STANDARD TERMS, PACE MAKES NO REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, INCLUDING IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT.

SUMMARY

PACE defends Reseller against IP infringement and product-defect claims relating to the Products. Reseller defends PACE against claims arising from Reseller's own conduct.

By PACE. Subject to the limits in Section 18, PACE shall defend, indemnify, and hold harmless Reseller and its officers, directors, employees, and agents from and against third-party claims, and pay damages or settlement amounts finally awarded by a court of competent jurisdiction or agreed in a PACE-approved settlement, to the extent such claims arise out of: (i) an allegation that a Product, as supplied by PACE and used in accordance with PACE's documentation, infringes a third party's patent, copyright, trademark, or trade-secret rights; or (ii) death, bodily injury, or tangible property damage caused by a defect in a Product that existed when the Product left PACE's facility and was not caused or contributed to by Reseller's misuse, modification, or failure to follow PACE's documentation.

PACE's indemnification is conditioned on Reseller giving prompt notice, providing PACE sole control of defense and settlement, and not making admissions or settling without PACE's consent. For IP claims, PACE may at its option procure rights, modify, replace, or refund the affected Product.

By Reseller. Reseller shall defend, indemnify, and hold harmless PACE and its officers, directors, employees, and agents from any third-party claims, damages, fines, losses, and reasonable costs (including attorney fees) arising from: (a) Reseller's negligence or willful misconduct; (b) Reseller's marketing or representations to End Customers beyond those authorized by PACE; (c) Reseller's breach of Trade Laws (Section 12), Anti-Corruption Laws (Section 13), or data-protection laws (Section 14); (d) Reseller's breach of this Agreement; or (e) Reseller's modification, alteration, or repair of Products outside its express authorization.

The mutual indemnification obligations are the sole and exclusive remedies for the matters addressed and survive termination.

18 Limitation of Liability

SUMMARY

Each side's non-indemnity, non-confidentiality, non-payment liability is capped at the greater of fees paid in 12 months or \$10,000.

EXCEPT FOR (i) INDEMNIFICATION OBLIGATIONS UNDER SECTION 17; (ii) BREACHES OF CONFIDENTIALITY UNDER SECTION 11; (iii) BREACHES OF TRADE LAWS (SECTION 12), ANTI-CORRUPTION LAWS (SECTION 13), OR INTELLECTUAL PROPERTY OBLIGATIONS (SECTION 15); (iv) RESELLER'S PAYMENT OBLIGATIONS; OR (v) DAMAGES FROM GROSS NEGLIGENCE OR WILLFUL MISCONDUCT, EACH PARTY'S TOTAL AGGREGATE LIABILITY UNDER THIS AGREEMENT, REGARDLESS OF THEORY, SHALL NOT EXCEED THE GREATER OF (A) AMOUNTS PAID OR PAYABLE BY RESELLER TO PACE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE EVENT, OR (B) U.S. \$10,000.

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR LOST PROFITS, LOST REVENUE, LOSS OF USE, BUSINESS INTERRUPTION, LOSS OF DATA, COST OF SUBSTITUTE GOODS OR SERVICES, OR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, OR PUNITIVE DAMAGES, EVEN IF ADVISED OF THE POSSIBILITY.

These limitations are an essential element of the bargain and apply notwithstanding any failure of essential purpose of a limited remedy.

19 Term and Termination

SUMMARY

1-year auto-renewing. 60 days' notice for convenience; 30 days for cause (with cure).
Immediate termination for serious breaches.

Term. This Agreement begins on the Effective Date and continues for an initial term of one (1) year, renewing automatically for successive one-year terms unless either party gives written non-renewal notice at least sixty (60) days before the end of the then-current term.

Termination for Convenience. Either party may terminate without cause on sixty (60) days' prior written notice.

Termination for Cause. Either party may terminate for cause on thirty (30) days' written notice if the other party materially breaches and fails to cure within the notice period.

Immediate Termination. Either party may terminate immediately by written notice if the other (i) becomes insolvent or has an insolvency proceeding commenced that is not dismissed within sixty (60) days; (ii) materially breaches Section 12 (Export Controls), 13 (Anti-Bribery), 11 (Confidentiality), or 15 (Intellectual Property); (iii) experiences a Change of Control as defined in Section 23(d) that the other party reasonably objects to; or (iv) engages in conduct that materially harms the other party's reputation or business.

SUMMARY

Sales rights and trademark license end. Reseller has 90 days to sell through existing inventory. Surviving sections continue.

Upon expiration or termination:

- **Sales rights cease.** Reseller's appointment, the trademark license, and the right to identify as an authorized PACE reseller terminate. Reseller shall remove all references to PACE and the Marks from its website and materials within thirty (30) days.
- **Open orders.** PACE may, at its option, fulfill or cancel orders accepted but not yet shipped.
- **Inventory.** For ninety (90) days following termination (the "Sell-Through Period"), Reseller may continue to sell its existing inventory of Products in compliance with all surviving obligations. PACE may, at its option, repurchase Reseller's then-current inventory of unused, unopened, current-version Products at Reseller's original net invoice cost less an inventory-condition adjustment, freight collect.
- **Confidential Information.** Each party shall return or destroy the other's Confidential Information.
- **Payment.** Payment obligations accrued prior to termination remain due.

Survival. Sections 1 (Definitions), 11 (Confidentiality), 12 (Export Controls), 13 (Anti-Bribery), 14 (Data Protection), 15 (Intellectual Property), 16 (Representations, as to accrued claims), 17 (Indemnification), 18 (Limitation of Liability), 20 (Effect of Termination), 21 (Dispute Resolution), 22 (Governing Law), and 23 (General Provisions) survive.

SUMMARY

Negotiation first (30 days); then binding arbitration in Tucson under AAA Commercial Rules. Class actions waived. Either side may go to court for emergency IP, confidentiality, or trade-compliance relief.

(a) Negotiation. The parties shall first attempt to resolve any dispute through good-faith negotiation between senior representatives for at least thirty (30) days before initiating arbitration.

(b) Arbitration. Any unresolved dispute shall be resolved by final and binding arbitration administered by the American Arbitration Association under its **Commercial Arbitration Rules**, before a single arbitrator, with seat in **Pima County, Arizona**, conducted in **English**.

(c) Class Action Waiver. ALL DISPUTES SHALL BE ARBITRATED INDIVIDUALLY. THE PARTIES EXPRESSLY WAIVE ANY RIGHT TO PARTICIPATE AS A REPRESENTATIVE OR MEMBER OF ANY CLASS, COLLECTIVE, CONSOLIDATED, OR MASS ACTION.

(d) Jury Trial Waiver. If any dispute proceeds in court rather than arbitration, EACH PARTY WAIVES TRIAL BY JURY. Exclusive venue is the state or federal courts in Pima County, Arizona.

(e) Equitable Relief. Notwithstanding the foregoing, either party may seek injunctive or equitable relief in court to prevent or restrain a breach of intellectual-property rights, confidentiality, or Trade Laws / Anti-Corruption Laws.

(f) Fees. Each party bears its own attorney fees, except the arbitrator may award fees and costs to PACE in collection or breach-of-Section-11/12/13/15 actions.

22 Governing Law

SUMMARY

Arizona law. UN Convention on Contracts for the International Sale of Goods does not apply.

This Agreement is governed by Arizona law (without regard to conflicts of law). The United Nations Convention on Contracts for the International Sale of Goods does not apply.

SUMMARY

Standard wrap-up clauses: entire agreement, amendments, assignment, notices, force majeure, independence, severability, language.

(a) Entire Agreement. This Agreement and any signed amendments constitute the entire agreement and supersede all prior or contemporaneous agreements on its subject matter.

(b) Amendments. No amendment is effective unless in writing and signed by both parties.

(c) Waiver. A waiver of any breach is not a waiver of any subsequent breach.

(d) Assignment and Change of Control. Reseller may not assign or transfer this Agreement or any rights or obligations under it, by operation of law or otherwise, without PACE's prior written consent; any attempted assignment is void. "Change of Control" means any transaction or series of transactions resulting in (i) a transfer of more than fifty percent (50%) of the voting equity interests of Reseller; (ii) the sale, lease, or other disposition of all or substantially all of Reseller's assets; or (iii) a merger, consolidation, or reorganization in which Reseller is not the surviving entity. Reseller shall give PACE written notice of any proposed or actual Change of Control as promptly as legally permitted, and in any event not later than fifteen (15) days after closing. If the acquirer or successor competes with PACE in the metallographic equipment or consumables markets, or otherwise would, in PACE's reasonable judgment, materially impair Reseller's ability or willingness to perform this Agreement, PACE may terminate this Agreement immediately on written notice without further liability. PACE may assign this Agreement in connection with a merger, acquisition, reorganization, or sale of substantially all assets.

(e) Notices. Notices to PACE: 3601 E. 34th Street, Tucson, Arizona 85713, USA, Attn: General Counsel, with copy to pace@metallographic.com. Notices to Reseller: the address on the cover page or as otherwise notified.

(f) Force Majeure. Neither party is liable for delays caused by circumstances beyond reasonable control (acts of God, war, pandemic, government action, etc.). Either party may terminate the affected portion if the event continues more than ninety (90) days.

(g) Relationship. Reseller is an independent contractor. Nothing creates an agency, partnership, joint venture, or franchise.

(h) No Third-Party Beneficiaries. No third parties have rights under this Agreement.

(i) Severability. An invalid provision shall be modified to the minimum extent needed to be enforceable; remaining provisions stay in force.

(j) Language. Executed in English. Any translation is for convenience only; the English version controls.

(k) Counterparts. May be executed in counterparts (including by electronic signature).

PACE Technologies Corporation

Signature: _____

Printed Name: _____

Title: _____

Date: _____

[RESELLER LEGAL NAME]

Signature: _____

Printed Name: _____

Title: _____

Date: _____

B Exhibit B — Discount Schedule

SUMMARY

Two tiers. Authorized = 10% off List Price at \$5,000 per year. Active = 15% off List Price at \$15,000 per year with MAP compliance and reporting. Each order must be at least \$500.

This Exhibit B is effective as of the Effective Date and is subject to PACE's right to update on sixty (60) days' written notice under Section 3.

Authorized Tier

- **Discount:** ten percent (10%) off List Price on qualifying Products
- **Annual Minimum:** \$5,000 USD in net invoiced Product purchases per calendar year
- **Per-Order Minimum:** \$500 USD per purchase order
- **Qualifying status:** Default tier for all Resellers on appointment, subject to the conditions of this Agreement

Active Tier

- **Discount:** fifteen percent (15%) off List Price on qualifying Products
- **Annual Minimum:** \$15,000 USD in net invoiced Product purchases per calendar year
- **Per-Order Minimum:** \$500 USD per purchase order
- **Qualifying status:** Reseller qualifies for the Active tier upon (i) achieving the Active Tier Annual Minimum in any calendar year of the Term, and (ii) maintaining MAP compliance and timely quarterly equipment end-customer reporting under Section 8
- **Tier downshift:** If Reseller fails to meet the Active Tier Annual Minimum in any subsequent calendar year, or breaches MAP compliance or reporting obligations, PACE may downshift Reseller to the Authorized Tier for the following calendar year on thirty (30) days' written notice

General Discount Terms

- **Qualifying Products:** all Products in PACE's published catalog and on PACE's e-commerce site at shop.metallographic.com, except as designated by PACE in writing as ineligible for discount (for example, third-party items, custom builds, or promotional bundles)

- **Application:** the discount is applied to PACE's then-current published List Price at the time of order acceptance
- **Currency:** all amounts are in U.S. dollars
- **Updates:** PACE may update this Exhibit B on sixty (60) days' written notice; updates are effective for orders accepted after the change